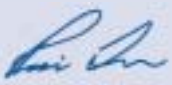
Management's Statement of Responsibility

Management recognizes its responsibility for conducting the Company's affairs in the best interests of all its shareholders. The consolidated financial statements and related information in the annual report are the responsibility of management. The consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles, which involve the use of judgement and estimates in applying the accounting principles selected. Other financial information in the annual report is consistent with that in the consolidated financial statements.

The Company maintains systems of internal controls, which are designed to provide reasonable assurance that accounting records are reliable and to safeguard the Company's assets. The Company's independent auditors, KPMG LLP, Chartered Accountants, have audited and reported on the Company's consolidated financial statements. Their opinion is based upon audits conducted by them in accordance with Canadian generally accepted auditing standards to obtain reasonable assurance that the consolidated financial statements are free of material misstatement.

The Audit Committee of the Board of Directors, all of whom are independent of the Company or any of its affiliates, meets periodically with the independent external auditors, the internal auditors and management representatives to review the internal accounting controls, the consolidated quarterly and annual financial statements and other financial reporting matters. Both the internal and independent external auditors have unrestricted access to the Audit Committee. The Audit Committee reports its findings and makes recommendations to the Board of Directors.



Richard A. Lan
President and Chief Executive Officer

Michael H. Vels
Chief Financial Officer

Auditors' Report to the Shareholders

We have audited the consolidated balance sheets of Canada Bread Company, Limited as at December 31, 2003 and 2002 and the consolidated statements of earnings, retained earnings and cash flows for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with Canadian generally accepted auditing standards. Those standards require that we plan and perform an audit to obtain reasonable assurance whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation.

In our opinion, these consolidated financial statements present fairly, in all material respects, the financial position of the Company as at December 31, 2003 and 2002 and the results of its operations and its cash flows for the years then ended in accordance with Canadian generally accepted accounting principles.

Chartered Accountants
Toronto, Canada
February 24, 2004

Consolidated Balance Sheets

As at December 31 (in thousands of Canadian dollars)	2003	2002
ASSETS		
Current assets		
Cash	$ 11,528	$ 12,389
Accounts receivable (Note 3)	44,699	59,911
Inventories (Note 4)	33,205	30,512
Future tax asset - current (Note 12)	5,838	5,274
Prepaid expenses	2,081	2,490
	97,351	110,576
Property and equipment (Note 5)	335,811	334,606
Other long-term assets	2,657	3,098
Goodwill and other intangibles	341,814	346,083
Future tax asset - non-current (Note 12)	2,321	—
	$ 779,954	$ 794,363
LIABILITIES AND SHAREHOLDERS' EQUITY		
Current liabilities		
Accounts payable and accrued charges	$ 151,577	$ 159,937
Dividends payable	1,525	1,285
Income and other taxes payable	4,392	11,862
Current portion of long-term debt (Note 6)	26,941	7,954
	184,435	181,038
Long-term debt (Note 6)	126,710	274,435
Future tax liability (Note 12)	31,382	34,179
Shareholders' equity (Note 8)	437,427	304,711
	$ 779,954	$ 794,363

Contingencies and commitments (Note 16)

See accompanying Notes to Consolidated Financial Statements.

On behalf of the Board:

Richard Lan
Director

John L. Bragg
Director

Consolidated Statements of Earnings

As at December 31 (In thousands of Canadian dollars, except share amounts)	2003	2002
Sales	$ 1,262,811	$ 1,028,571
Earnings from operations before restructuring costs	$ 62,941	$ 63,799
Restructuring costs (Note 9)	(7,422)	—
Earnings from operations	55,519	63,799
Other income (expense) (Note 10)	(11)	285
Earnings before interest and income taxes	55,508	64,084
Interest expense (Note 11)	8,355	3,766
Earnings before income taxes	47,153	60,318
Income taxes (Note 12)	11,520	21,564
Earnings before minority interest	35,633	38,754
Minority interest	—	57
Net earnings	$ 35,633	$ 38,697
Earnings per share – basic (Note 17)	$ 1.42	$ 1.80
Earnings per share – diluted (Note 17)	$ 1.39	$ 1.80
Weighted average number of shares (millions)	25.1	21.4

See accompanying Notes to Consolidated Financial Statements.

Consolidated Statements of Retained Earnings

As at December 31 (In thousands of Canadian dollars)	2003	2002
Retained earnings, beginning of year:	$ 247,746	$ 214,189
Net earnings	35,633	38,697
Dividends declared ($0.24 per share; 2002 - $0.24 per share)	(6,100)	(5,140)
Retained earnings, end of year	$ 277,279	$ 247,746

See accompanying Notes to Consolidated Financial Statements.

Consolidated Statements of Cash Flows

As at December 31 (in thousands of Canadian dollars)	2003	2002
CASH PROVIDED BY (USED IN)		
Operating activities		
Net earnings	$ 35,633	$ 38,697
Add (deduct) items not affecting cash:		
Depreciation	39,529	28,506
Minority interest	—	57
Future income taxes	(3,010)	108
Other	196	(295)
Change in non-cash operating working capital	(5,974)	25,112
	66,374	92,185
Financing activities		
Dividends paid	(5,860)	(5,140)
Increase in long-term debt	79,609	333,456
Decrease in long-term debt	(174,131)	(98,676)
Increase in share capital (Note 8)	106,000	—
	5,618	229,640
Investing activities		
Purchase of intangible assets	(1,279)	—
Additions to property and equipment	(63,792)	(20,678)
Proceeds from sale of property and equipment	1,146	817
Purchase of net assets of businesses, net of cash acquired (Note 15)	(8,928)	(288,910)
	(72,853)	(308,771)
Increase (decrease) in cash and cash equivalents	(861)	13,054
Cash and cash equivalents (bank indebtedness), beginning of year	12,389	(665)
Cash and cash equivalents, end of year	$ 11,528	$ 12,389
Supplemental cash flow information:		
Net interest paid	$ 10,384	$ 3,722
Net income taxes paid	23,235	18,464

See accompanying Notes to Consolidated Financial Statements.

Notes to Consolidated Financial Statements

Years ended December 31, 2003 and 2002 (Tabular amounts in thousands of Canadian dollars, except share amounts)

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or "the Company") and its subsidiaries operate in the bakery industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels, and par-baked bread. Canada Bread was 68% owned by Maple Leaf Foods Inc. ("Maple Leaf") as at December 31, 2002. Maple Leaf's ownership interest increased to 84.7% in 2003.

2. SIGNIFICANT ACCOUNTING POLICIES

The following are the significant accounting policies of the Company. The preparation of periodic financial statements necessarily involves the use of estimates and approximations. Should the underlying assumptions change, the actual amounts could differ from those estimates.

(a) Principles of consolidation

The consolidated financial statements include the accounts of the Company and its subsidiaries.

(b) Translation of foreign currencies

The accounts of foreign subsidiaries, associated companies and joint ventures are translated into Canadian dollars using the exchange rate in effect at the year end for assets and liabilities and the average exchange rates for the year for revenue and expenses. Exchange gains or losses on translation are deferred and included as a separate component in shareholders' equity until realized.

Where the Company enters into forward exchange contracts to hedge the principal and interest on related debt payable in foreign currencies, unrealized losses or gains on such contracts are matched with exchange gains or losses on the debt payable.

(c) Hedging arrangements

The Company enters into hedging arrangements to manage its exposure to currency, commodity price and interest rate fluctuations. The gains and losses on these hedging instruments are recognized in the consolidated financial statements in the same period and are matched with the same financial statement category as the item to which the hedged position relates. Any accrued amounts receivable and payable under the terms of such contracts are included in accounts receivable and accounts payable, respectively.

The Company designates certain of its U.S. dollar borrowings as a hedge of its net investment in its U.S. based businesses. Any exchange gain or loss on such designated borrowings is offset against the unrealized exchange gain or loss arising on translation of the U.S. dollar financial statements of these businesses and is included in the unrealized foreign currency adjustment account in shareholders' equity.

(d) Revenue recognition

The Company recognizes revenues from product sales upon transfer of title to customers. Revenue is recorded at the invoice price for each product net of estimated returns and sales incentives provided to customers. Sales incentives include various rebate and promotional programs with the Company's customers, primarily rebates based on achievement of specified volume or growth in volume levels.

(e) Inventories

Inventories are valued at the lower of cost and net realizable value, with cost being determined substantially on a first-in, first-out basis. Included in the cost of inventory are direct product costs, direct labour and an allocation of variable and fixed manufacturing overhead including depreciation.

(f) Property and equipment

Property and equipment are recorded at cost including, where applicable, interest capitalized during the construction or development period.

Depreciation is calculated using the straight-line basis at the following rates, which are based on the expected useful lives of the assets:

Buildings	2-1/2% to 5%
Machinery and equipment	10% to 33%

(g) Deferred financing costs

Costs incurred to obtain long-term debt financing are amortized over the term of such debt and are included in interest expense for the year.

(h) Goodwill and other intangibles

Goodwill is the residual amount that results when the purchase price of an acquired business exceeds the sum of the amounts allocated to the assets acquired, less liabilities assumed, based on their fair values. Goodwill is allocated as of the date of the business combination to the Company's reporting units that are expected to benefit from the synergies of the business combination. The Company assigns value to certain acquired identifiable intangible assets, primarily trademarks and delivery routes. Goodwill is not amortized and is tested for impairment annually in the second quarter. Definite life intangibles are amortized over their useful life.

(i) Income taxes

The Company uses the asset and liability method of accounting for income taxes. Accordingly, future tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax bases. Future tax assets and liabilities are measured using enacted or substantively enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. In addition, the effect on future tax assets and liabilities of a change in tax rates is recognized in income in the year that includes the enactment or substantive enactment date.

(j) Employee benefit plans

The Company accrues obligations under employee benefit plans and the related costs, net of plan assets. The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected benefit method prorated on service and management's best estimate of expected plan investment performance, salary escalation and retirement ages of employees. For the purpose of calculating the expected return on plan assets, those assets are valued at fair value. Past service costs arising from plan amendments are

amortized on a straight-line basis over the average remaining service period of employees active at the date of amendment.

Actuarial gains and losses in excess of 10% of the greater of the actuarial liabilities and the market value of assets and all gains and losses due to changes in plan provisions are amortized on a straight line basis over the expected average remaining service period of the active plan members. When a restructuring of a benefit plan gives rise to both a curtailment and settlement of obligations, the curtailment is accounted for prior to the settlement.

(k) Statement of cash flows

Cash and cash equivalents are defined as cash and short-term securities with maturities less than 90 days at the date of acquisition, less bank indebtedness.

(l) Recently issued accounting pronouncements

(i) Hedging Relationships

The CICA Accounting Guideline 13, "Hedging Relationships", establishes new criteria for hedge accounting and will apply to all hedging relationships in effect on or after January 1, 2004. To qualify for hedge accounting, the hedging relationship must be appropriately documented at the inception of the hedge and there must be reasonable assurance, both at the inception and throughout the term of the hedge, that the hedging relationship will be effective. Effectiveness requires a high correlation of changes in fair values or cash flows between the hedged item and the hedging item. The Company has formally documented and re-assessed all hedging relationships and determined that the new criteria have been met. All hedging instruments and relationships used by the Company as at December 31, 2003, met the new criteria relating to hedge effectiveness.

In the event that a designated hedge item is sold, extinguished or matures prior to the termination of the related derivative instrument, any realized or unrealized gain or loss on such derivative instrument is recognized in income.

(ii) Accounting for asset retirement obligations

In March 2003, the CICA issued a new accounting standard, Section 3110, "Accounting for Asset Retirement Obligations". The new standard requires companies to record the fair value of an asset retirement obligation as a liability in the period in which they incur a legal obligation associated with the retirement of tangible long-lived assets that results from the acquisition, construction, development and/or normal use of the assets. Companies are also required to record a corresponding amount as an asset that is depreciated as a charge to earnings over the life of the asset. Companies are required to adopt Section 3110 for fiscal years beginning on January 1, 2004. The Company is assessing the impact of this new standard.

(m) Comparative figures

Certain 2002 comparative figures have been reclassified to conform with the financial statement presentation adopted in 2003.

3. ACCOUNTS RECEIVABLE

Under a revolving securitization program, the Company has sold, with limited recourse, certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and assumes limited recourse obligations for delinquent receivables. At December 31, 2003, trade accounts receivable amounting to $50 million (2002 – $50 million) had been sold under these programs.

4. INVENTORIES

	2003	2002
Material held for production	$ 11,094	$ 7,784
Finished products	22,111	22,728
	$ 33,205	$ 30,512

5. PROPERTY AND EQUIPMENT

	2003	2002
Land	$ 32,131	$ 25,337
Buildings	118,807	123,496
Machinery and equipment	357,843	361,698
Construction in progress	46,189	13,175
	554,970	523,706
Less accumulated depreciation	219,159	189,100
	$ 335,811	$ 334,606

6. LONG-TERM DEBT

	2003	2002
Revolving term facility (i)	$ 78,324	$ 9,500
Due to Maple Leaf (ii)	93,923	209,219
Note payable to Maple Leaf (ii)	—	75,000
Other	1,399	7,963
Obligations under capital leases	5	707
	173,651	302,389
Less:		
Current portion	26,941	7,954
Portion classified as equity (ii)	20,000	20,000
	46,941	27,954
	$ 126,710	$ 274,435

(i) In July 2001, Canada Bread established a bank facility to finance the acquisition of Multi-Marques Inc. and provide liquidity for general corporate purposes. The facility is structured as follows:

(a) a $77.0 million (2002 - $99.0 million) revolving/reducing term facility, maturing in 2005.

(b) a committed four-year $20.0 million revolving facility, maturing in 2005.

These facilities can be drawn in either Canadian or U.S. dollars and bear interest based on Bankers' Acceptance rates for Canadian dollar loans and LIBOR for U.S. dollar loans. At December 31, 2003, $85.0 million (2002 - $15.7 million) was utilized under this facility (including drawings of $6.7 million (2002 - $6.2 million) in respect of letters of credit).

(ii) Canada Bread has a $169.0 million (2002 - $215.0 million) revolving debt facility due to Maple Leaf. The facility was established in December 2002 to fund the acquisition of the Maple Leaf Bakery Group (Note 15) and to provide liquidity for general corporate purposes. This revolving facility is extendible, at the Company's option, each year, subject to a final maturity date of December 27, 2005. Interest paid to Maple Leaf under these facilities was $2.3 million for 2003. These facilities bear interest at substantially the same rates as the facility described in (i) above.

At December 31, 2003, a total of $128.1 million (2002 - $209.2 million) was drawn. Netted against this amount is a $34.2 million receivable related to the Company's five-year cross-

currency swap with Maple Leaf (Note 7(b)). The swap has a current unrealized gain of $36.0 million in total, of which $34.2 million represents the portion of the gain related to currency translation that must be recorded on the balance sheet. Under the terms of the debt facility, each party has the legal right to set off any amounts owed by it to the other party against any amounts receivable from the other party. Accordingly, the currency gain has been recorded as a reduction of long-term debt.

Canada Bread has an option to repay up to $20.0 million of debt outstanding under this facility in common shares. As such, this amount has been classified as a separate component of shareholders' equity.

In December 2002, Canada Bread issued a promissory note to Maple Leaf in the amount of $75.0 million. This promissory note was repaid in January 2003 from drawings under the bank facility described in (i) above.

In addition, the Company has undrawn demand overdraft facilities of $10.0 million (2002 – $22.6 million), which bear interest at short-term rates. At year end, there were no amounts outstanding under these facilities.

The Company's blended average effective cost of borrowing for 2003 was 3.2% (2002 – 3.1%), after adjusting for the payments made under swap contracts in place in 2003 (see Note 7).

Required repayments of long-term debt are as follows:

2004	$ 26,941
2005	146,338
2006	142
2007	76
2008	—
Thereafter	154
	$ 173,651

7. DERIVATIVE FINANCIAL INSTRUMENTS AND RISK MANAGEMENT

In the ordinary course of business, the Company enters into derivative financial instruments with Maple Leaf as its counter party to reduce underlying risks associated with foreign currency and interest rates.

(a) Foreign currency risk management

The Company uses foreign currency forward contracts and options to manage its currency exposures. The currency exposure relates primarily to U.S. dollar denominated export sales and U.S. dollar linked commodities, primarily flour.

At December 31, 2003, the Company had outstanding commitments to sell US$10.1 million (2002 – nil) at an average rate of 1.3758.

(b) Interest rate risk management

The Company uses interest rate swaps to manage its exposure to interest rate fluctuations. At December 31, 2003, the Company had entered into interest rate swap contracts with Maple Leaf, having an aggregate notional amount of $40.0 million (2002 - $60.0 million) and maturity dates ranging from July 12, 2004 to July 12, 2005. The fixed rates payable by the Company under these contracts range from 3.89% to 4.40%. The floating rates are based on the three-month bankers acceptance rate.

Based on market values at December 31, 2003, the Company would have realized a loss of $0.6 million (2002 - loss of $0.8 million) if it terminated the above-noted swap agreements.

In 2003, the Company entered into a five year cross-currency swap with Maple Leaf to hedge U.S. dollar denominated assets. This swap requires Canada Bread to pay interest of 3.48% per annum on US$140.0 million and receive interest of 4.45% per annum on Cdn$219.6 million. Based on market values as at December 31, 2003, the Company would have realized a gain of $36 million if it terminated the above-noted swap agreement. This amount has been recorded as a reduction of long-term debt (Note 6). Since this instrument was designated to hedge the currency translation on the Company's U.S. dollar denominated assets, the portion of the gain related to currency translation ($34.2 million) has been recorded in the cumulative translation account.

(c) Commodity price risk management

The Company uses a variety of derivative instruments to manage its exposure to various commodity price fluctuations. Based on market values at December 31, 2003, the Company would have realized a gain of $0.6 million (2002 - loss of $9.0 million) to terminate these contracts.

(d) Fair value of financial assets and liabilities

Fair value of accounts receivable, accounts payable and accrued charges, and current portion of long-term debt approximates their carrying value due to their short-term nature.

The fair value of long-term indebtedness pursuant to the Company's facilities approximates its carrying value as it bears interest at floating rates.

8. SHAREHOLDERS' EQUITY

Shareholders' equity consists of the following:

	2003	2002
Share capital (25,416,812 common shares (2002 - 21,416,812)	$ 142,965	$ 36,965
Retained earnings	277,279	247,746
Unrealized foreign currency adjustment	(2,817)	—
Equity component of long-term debt (Note 6)	20,000	20,000
	$ 437,427	$ 304,711

The authorized share capital of the Company consists of an unlimited number of common shares.

On January 28, 2003, the Company issued four million shares to Maple Leaf from Treasury at $26.50 per share in a private placement transaction. Proceeds from the financing of $106 million were used to pay down debt owing by the Company to Maple Leaf (Note 6).

9. RESTRUCTURING COSTS

During the year, the Company recorded a $7.4 million restructuring costs ($4.8 million after tax), relating to plant closures and operational restructuring. The following table details the composition of the restructuring costs:

	2003
Employee termination and related costs	$ 4,353
Facility exit costs	722
Other restructuring costs	988
	$ 6,063
Asset Impairment	1,359
	$ 7,422

The charge for asset impairment reflects the write down of certain capital assets which were either disposed of or have become impaired as a result of the restructuring.

Of the $6.1 million in provisions, $3.3 million was paid in 2003.

10. OTHER INCOME (EXPENSE)

	2003	2002
Gain (loss) on sale of property and equipment	$ (196)	$ 80
Other	185	205
	$ (11)	$ 285

11. INTEREST EXPENSE

	2003	2002
Interest expense on long-term debt	$ 8,664	$ 1,784
Other net interest expense (income)	(309)	1,982
	$ 8,355	$ 3,766

12. INCOME TAXES

Income tax expense varies from the amount that would be computed by applying the combined federal and provincial statutory income taxes rate as a result of the following:

	2003	2002
Income tax expense according to combined statutory rate of 35.3% (2002 – 38.6%)	$ 16,623	$ 23,283
Increase (decrease) in income taxes resulting from:		
Manufacturing and processing credit	(1,168)	(2,579)
Rate difference on foreign jurisdictions	(4,525)	—
Non-taxable gains	(17)	(11)
Large Corporations Tax	229	177
Other	378	694
	$ 11,520	$ 21,564

The tax effects of temporary differences that give rise to significant portions of the future tax assets and future tax liabilities at December 31 are presented below:

	2003	2002
Future tax assets:		
Accrued assets	$ 7,358	$ 2,734
Loss carry forward	5,467	—
Other	—	3,419
	$ 12,825	$ 6,153
Future tax liabilities:		
Plant and equipment – differences in net book value and undepreciated capital cost	$ 30,564	$ 32,409
Taxes payable regarding accrued liabilities	—	—
Other	5,484	2,649
	$ 36,048	$ 35,058
Classified in the consolidated financial statements as:		
Future tax asset - current	$ 5,838	$ 5,274
Future tax asset - non-current	2,321	—
Future tax liability - non-current	(31,382)	(34,179)
Net future tax liability	$ (23,223)	$ (28,905)

13. PENSIONS AND OTHER POST-RETIREMENT BENEFITS

Information about the Company's defined benefit plans as at December 31 in aggregate, is as follows:

	2003	2002
Accrued benefit obligation:		
Balance, beginning of year	$ 98,265	$ 92,456
Current service cost	2,448	2,176
Interest cost	6,226	6,229
Benefits paid	(6,990)	(7,155)
Actuarial losses	3,574	2,692
Employee contributions	1,076	1,736
Plan amendments	—	131
Balance, end of year	$ 104,599	$ 98,265
Plan assets:		
Fair value, beginning of year	$ 85,181	$ 95,609
Actual return on plan assets	10,988	(5,649)
Employer contributions	2,557	746
Employee contributions	1,076	1,736
Benefits paid	(6,990)	(7,155)
Asset transfer to Company defined contribution plan	(2,436)	(106)
Fair value, end of year	$ 90,376	$ 85,181
Funded status - plan surplus (deficit)	$ (14,223)	$ (13,084)
Unamortized transitional amount	(9,004)	(9,782)
Unamortized investment gain	22,594	24,716
Unamortized prior service cost	1,220	1,021
Accrued benefit asset	$ 587	$ 2,871

The significant actuarial assumptions adopted in measuring the Company's accrued benefit obligations are as follows as of December 31:

	2003	2002
Discount rate	6.00%	6.50%
Expected long-term rate of return on plan assets	7.50%	7.50%
Rate of compensation increase	4.00%	4.00%

The Company's net benefit plan expense for the year ended December 31 is as follows:

	2003	2002
Current service cost - defined benefit plan	$ 2,448	$ 2,176
Interest cost	6,226	6,229
Expected return on plan assets	(6,393)	(7,461)
Amortization of transitional obligation	(778)	(778)
Actuarial gain recognized	802	137
Amortization of prior service cost	95	207
Defined contribution plan cost	5,673	3,605
Net benefit plan expense	$ 8,073	$ 4,115

The Company has post-retirement benefit obligations of $1.0 million that are fully accrued.

14. RELATED PARTY TRANSACTIONS

(a) Maple Leaf provides the Company with certain management services, including treasury, taxation, internal audit, accounting and access to bulk purchasing programs. Pursuant to a Management and Affiliation Agreement entered into in August 1995, the Company paid a management and affiliation fee of $6.8 million (2002 - $4.5 million) to Maple Leaf, which approximates the cost of providing these services.

(b) The Company receives certain information system services from Maple Leaf for a cost of $3.5 million (2002 - $2.3 million).

15. ACQUISITIONS

On July 4, 2003, the Company purchased the assets of a waffle manufacturer located in Richmond Hill, Ontario for $6.2 million. The allocation of the purchase cost to the assets and liabilities acquired is preliminary.

In April 2002, the Company acquired the remaining 40% of the shares of Ben's Limited in Atlantic Canada to hold 100%.

In July 2002, the Company acquired all of the outstanding shares of Olafson's Baking Company Inc. of Delta, British Columbia. The initial purchase price was $11.5 million with additional consideration of up to $10.2 million payable, until February 28, 2004, depending on the attainment of certain financial targets. In 2003, the Company paid a further $3.2 million in respect of these amounts. At December 31, 2003, a maximum remaining amount of $7.0 million may be payable, which would result in additional goodwill.

In December 2002, Canada Bread purchased all of Maple Leaf's U.S. and U.K. bakery operations ("Maple Leaf Bakery Group"), for $262.3 million, inclusive of debt assumption of $10.7 million. These operations were consolidated effective December 31, 2002.

Details of net assets acquired and purchase adjustments in 2003 and 2002 are as follows:

	2003	2002	2002	2002
	Total	Maple Leaf Bakery Group	Other	Total
Cash	$ —	(992)	737	(255)
Net working capital	(9,918)	2,792	(2,561)	231
Other long-term assets	56	845	(1,715)	(870)
Property & equipment	(2,524)	96,929	(6,254)	90,675
Goodwill & other intangibles	18,327	170,319	48,779	219,098
Long-term debt & debt due to parent company	—	(19,290)	(14)	(19,304)
Future income taxes	2,987	982	5,308	6,290
Minority interest	—	—	4,405	4,405
Purchase cost	$ 8,928	251,585	48,685	300,270
Consideration:				
Cash	8,928	247,431	41,224	288,655
Accounts payable, accrued charges and long-term debt	—	4,154	7,461	11,615
	$ 8,928	251,585	48,685	300,270

The following table provides details of the activity in the accrued restructuring liabilities associated with the acquired businesses for 2003.

	Employee termination costs	Other exit costs	Total
Balance at January 1, 2003	3,810	13,560	$ 17,370
Provision	3,170	5,275	8,445
Cash payments	(3,172)	(6,627)	(9,799)
Balance at December 31, 2003	3,808	12,208	$ 16,016

16. CONTINGENCIES AND COMMITMENTS

(a) The Company has been named as defendant in several legal actions and is subject to various risks and contingencies arising in the normal course of business. Management is of the opinion that the outcome of these uncertainties will not have a material adverse effect on the Company's financial position.

(b) In the normal course of business, the Company enters into sales commitments with various customers and suppliers. These commitments are for varying terms and can provide for fixed or variable prices. With respect to certain of its contracts, the Company has the right to acquire at fair value, and the suppliers have the right to sell back to the Company certain assets, which have an estimated fair value of $17 million. The Company believes that these contracts serve to reduce risk, and it is not anticipated that losses will be incurred on these contracts.

(c) The Company has operating lease commitments in respect of property and equipment used in operations, which require minimum annual payments as follows:

2004	$ 15,077
2005	10,135
2006	6,989
2007	3,999
2008	3,069
Thereafter	462
	$ 39,731

17. EARNINGS PER SHARE

The following table sets forth the calculation of basic and diluted earnings per share:

	2003
Numerator:	
Net earnings	$ 35,633
Interest on convertible debt (Note 6)	461
Earnings available to common shareholders	$ 36,094
Denominator:	
Weighted average common shares outstanding (in millions)	25,083
Effect of dilutive securities (in millions):	
Convertible debt	810
Weighted average shares - diluted (in millions) (i)	25,893

(i) For 2002, the convertible debt is not dilutive.

Earnings per share:	
Basic	$ 1.42
Diluted	1.39